PURPOSE CAPITAL

APPENDIX “RED FLAGS” TO POLICY PC-POL-LBC-001 · REFERENCE LIST

Red flags specific to securities transactions

Ref. **PC-POL-LBC-001-A3**
Version 0.9
Internal

Completed by AML/CFT Officer **Frequency** Updated annually, together with the training **Kept by** RCCI (compliance file) · given to each Staff Member

A red flag is not proof. It requires an enhanced examination (Article 20) and, if doubt remains, a report to the AML/CFT Officer (Article 23).

Category	Red flag	Example
Client behaviour	Reluctance to provide information, inconsistent or doubtful documents	Address cannot be found, identity document recently issued without explanation
Client behaviour	Interest in internal procedures and reporting thresholds rather than in investments	Repeated questions about what triggers a check
Client behaviour	Client clearly acting on behalf of an undisclosed third party	Orders dictated by a person present at meetings
Funds	Large payments without investment, followed by a request for repayment	Deposit of 80 million, no orders for two months, request for a transfer to another country
Funds	Payments received from a third party or request for payment to a third party	Subscription paid by a company with no apparent connection to the client
Funds	Amounts split to fall just below a verification or reporting threshold	Several successive payments of 4.9 million
Funds	Funds originating from a high-risk country or unrelated to the client's situation	Transfers received from a FATF-listed jurisdiction for a resident client with no activity abroad
Transactions	Purchases and sales in quick succession with no economic rationale, acceptance of losses	Purchase of bonds followed by immediate resale at a discount
Transactions	Cross trades between linked accounts in an illiquid security	Two linked clients sell and buy back the same security from each other at rising prices
Transactions	Free-of-payment transfers of securities to persons with no apparent connection	Transfer of securities from a senior manager's account to that of a third party
Transactions	Unusual transactions ahead of a major announcement concerning an issuer	Massive purchase just before the announcement of an offer
Profile	Amounts out of proportion to declared income or wealth	Subscription of 300 million by an employee declaring FCFA 500,000 per month
Profile	PEP or close associate whose investments exceed known income	Regular purchases of government securities for large amounts
Structures	Shell companies, layered shareholdings, nominees	Recently incorporated company, with no activity, owned by another foreign company
Terrorist financing	Small regular amounts to or from conflict zones, non-profit organisation with poorly explained resources	Association whose donations come from unknown sources and which requests frequent withdrawals

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